

25STCV37387 25STCV37387

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Case Number: 25STCV37387 Hearing Date: July 17, 2026 Dept: 507

Tentative

Ruling

Judge Nicholas

F. Daum, Department 507

HEARING

DATE: July 17, 2026 TRIAL DATE: Feb. 15, 2028

CASE: Asia Pacific Capital Co. v. Fair Ranch

Xia LLC, et al.

CASE

NO.: 25STCV37387

DEMURRER TO COMPLAINT

MOVING

PARTY: Defendants Fair Ranch Xia, LLC ("FRX")

and Min Xia

RESPONDING

PARTY(S): Plaintiff

Asia Pacific Capital Co. ("APCC")

TENTATIVE RULING:

Defendants'

Demurrer to the Complaint is SUSTAINED in its entirety.

APCC

shall have thirty (30) days leave to amend.

Moving Parties to give notice.

BACKGROUND

This

is a breach of contract and fraud action. APCC alleges that Defendants used APCC's work product to purchase a parcel of commercial real estate without APCC's involvement, violating a confidentiality and non-circumvention agreement.

DISCUSSION:

Defendants demur to the Complaint in its entirety.

Legal

Standard

A

demurrer tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)

First

Cause of Action: Breach of Written Contract

Defendants demur to the first cause of action for breach of written contract. Defendants argue that the agreements are unenforceable under the statute of frauds because the fees which APCC would recover are compensation for brokerage services and no written brokerage agreement is alleged. The Court agrees.

An agreement “authorizing or employing an agent, broker, or any other person to [...] procure, introduce, or find a [...] seller of real estate [...] for compensation or a commission” must be in writing and subscribed by the party to be charged. (Civ. Code § 1624(a)(4).) A “real estate broker” is one who, as relevant here, “for a compensation or in expectation of a compensation [...] (a) [s]ells or offers to sell, buys or offers to buy, solicits prospective sellers or buyers of, solicits or obtains listings of, or negotiates the purchase, sale, or exchange of real property or a business opportunity.” (Bus & Prof. Code § 10131(a).) A written brokerage agreement must specify the property that is the subject of the agency, and a broker cannot recover a commission on the purchase of a different property not covered by the agreement. (Phillippe v. Shapell Industries (1987) 43 Cal.3d 1247, 1259.)

APCC

alleges that the parties entered into seven Confidentiality and Non-Circumvention Agreements between 2016 and 2024. (Complaint ¶¶ 7-10.) Only the first and most recent Agreements are included in the pleadings. (Complaint Exhs. A, B.) Allegedly, all seven agreements contain the same essential term in Paragraph 2, which provides that the “[i]nvestor shall not at any time hereinafter attempt to circumvent, bypass or obviate APCC with respect to any transaction involving any of the Projects. Investor shall be liable to, and hereby indemnifies APCC and its Related Parties for any and all losses, damages, claims and liabilities arising as a result of Investor’s or its Related Parties’ breach of the preceding covenant, including the payment of a customary commission or consulting fee to APCC.” (Complaint ¶ 9; Exh. A ¶ 2.) “Projects” is defined as “certain real properties and improvement...identified by Asia Pacific Capital Company, including but not limited to, the properties and improvements identified [in] Exhibit “A.” (Complaint ¶ 9.)

APCC

contends that the Agreements are not subject to the statute of frauds because they are not brokerage agreements. But this argument misses the point. The conduct APCC has put at issue is brokerage conduct; that conduct required a written agreement; and under clear law APCC cannot receive compensation for brokerage services absent such a written agreement. Accordingly, on the current state of the pleadings, APCC cannot enforce the Agreements.

APCC seeks damages of \$1.7 million on the basis that Defendants’ subsequent purchase of the 777 Tower violated the Confidentiality and Non-Circumvention Agreements by using APCC’s work product

and completing the transaction without its involvement, depriving it of its commission or consulting fee. (Complaint ¶¶ 25-26.). APCC alleges that, as part of an ongoing arrangement with Defendants, its Managing Director, Katherine Liao, “presented Defendants with the opportunity to purchase real commercial property located at 777 South Figueroa St., Los Angeles, California 90017 (hereinafter, the “777 Tower”)” based on an existing professional relationship between APCC and the seller’s broker. (Complaint ¶ 14.) Liao and Xia toured the property together on December 14, 2023, and thereafter discussed terms of a purchase proposal. (¶¶ 15-16.) Xia instructed Liao to prepare a Letter of Intent to purchase the property, which was prepared as of December 16. (¶¶ 17-18.)

All

of this activity, save the initial presentation of the 777 Tower, is brokerage activity subject to the Real Estate Law. (Preach v. Monter Rainbow (1993) 12 Cal.App.4th 1441, 1452 [participation in real estate negotiations is brokerage activity subject to licensing requirements]; Lyons v. Stevenson (1977) 65 Cal.App.3d 595, 604-605 [same].) In order for a party to be compensated for such services at all, there must be a written agreement that identifies the specific property as to which the brokerage services will be performed. The Non-Circumvention Agreements attached to the Complaint do not contain the information necessary to meet that standard because they manifestly do not name the 777 Tower as a covered property. (See Complaint Exhs. A, B.) None of the other five agreements are alleged to identify this property, and no separate Brokerage Agreement is alleged. On the facts as pled, the Court finds that the Non-Circumvention Agreements cannot be enforced so as to entitle APCC to the damages it alleges in the Complaint.

Accordingly, Defendants’ Demurrer to the first cause of action is SUSTAINED.

Second

Cause of Action: Breach of Implied Contract

Defendants demur to the second cause of action for breach of implied contract for failure to state a claim. Defendants contend that the statute of frauds bars this cause of action as well. The Court agrees. An “implied-in-fact” agreement for compensation of brokerage services is definitionally barred by the statute of frauds. (Civ. Code § 1624; Westside Agency, Inc. v. Randall (2016) 6 Cal.App.5th 317, 328-29.)

Accordingly,

Defendants' Demurrer to the second cause of action is SUSTAINED.

Third

Cause of Action: Breach of Implied Covenant of Good Faith and Fair Dealing

Defendants demur to the third cause of action for breach of the implied covenant of good faith and fair dealing for failure to state a cause of action. Defendants argue that this claim fails because the underlying contracts are not enforceable. The Court agrees. The implied covenant of good faith and fair dealing presupposes the existence of a contractual relationship between the parties, "since the covenant is an implied term in the contract." (Smith v. City and County of San Francisco (1990) 225 Cal.App.3d 38, 49.) Because there is no enforceable contract under the statute of frauds, no covenant can be implied.

Accordingly, Defendants' Demurrer to the third cause of action is SUSTAINED.

Fourth

Cause of Action: Quantum Meruit

Defendants demur to the fourth cause of action for quantum meruit for failure to state a cause of action. Defendants argue that APCC cannot recover in quantum meruit because brokers cannot recover in quantum meruit for services which are unrecoverable under the statute of frauds. Defendants are correct. (Philippe, supra, 43 Cal.3d 1247, 1263.)

Accordingly, Defendants' Demurrer to the fourth cause of action is SUSTAINED.

Fifth

Cause of Action: Fraudulent Concealment

Defendants also demur to the fifth cause of action for fraudulent concealment.

The theory of fraudulent concealment, as alleged, is that "Defendants intentionally failed to disclose to APCC that they would circumvent APCC and not compensate

APCC for its work relating to Defendants' purchase of the 777 Tower." (Complaint, ¶ 49.) The damages sought for the fraudulent

concealment are identical to those sought by APCC in connection with their other causes of action—APCC claims that it should be compensated for the (brokerage) work it performed on behalf of Defendants, and should be compensated based on the \$1,7000,000 in commission to which it claims it was entitled. (Complaint, ¶¶ 52-53.)

In

the particular context of this case, APCC has failed to allege the elements of causation and damage necessary to support a fraud claim. Based on the state of the pleadings, APCC has not shown (and certainly not with the required particularity for a fraud claim) that the alleged fraudulent nondisclosure caused a compensable loss. That is so because, on the current state of the pleadings, in the absence of a written brokerage agreement Defendants had no obligation to avoid circumventing APCC or to compensate APCC for its work relating to Defendants' purchase of the 777 Tower. Similarly, APCC has failed to allege compensable damage, because, on the current state of the pleadings, even if the alleged fraudulent concealment occurred Defendants had no obligation to compensate APCC.

Accordingly,

Defendants' demurrer to the fifth cause of action is SUSTAINED.

Sixth

Cause of Action: Declaratory Relief

Defendants demur to the sixth cause of action for declaratory relief for failure to state a claim. Defendants contend, inter alia, that this cause of action is derivative of the breach of contract claim. The Court agrees, and, for the reasons stated in connection with that cause of action, finds that the sixth cause of action is not well-pled.

Accordingly, Defendants' Demurrer to the sixth cause of action is SUSTAINED.

Leave

to Amend

When

a demurrer is sustained, the Court determines whether there is a reasonable possibility that the defect can be cured by amendment. (Blank v. Kirwan

(1985) 39 Cal.3d 311, 318). When a plaintiff "has pleaded the general set of facts upon which his cause of action is based," the court should give the plaintiff an opportunity to amend his complaint, since plaintiff should not "be deprived of his right to maintain his action on the ground that his pleadings were defective for lack of particulars." (Reed v. Norman (1957) 152 Cal.App.2d 892, 900.) Accordingly, California law imposes the burden on the plaintiffs to demonstrate the manner in which they can amend their pleadings to state their claims against a defendant. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) "Denial of leave to amend constitutes an abuse of discretion unless the complaint shows on its face it is incapable of amendment. [Citation.] Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (Angie M. v. Superior Court (1995) 37 Cal.App.4th 1217, 1227.)

APCC

has not demonstrated how the Complaint might be amended to cure the defects the Court has identified. That said, the possibility exists for APCC to plead additional facts that might limit the application of the statute of frauds. Such allegations might, solely by way of example, set forth a separate written agreement which comports with the statute of frauds, or they might describe other, non-brokerage activity for which APCC may be entitled to compensation. Because nothing in the Complaint clearly forecloses the existence of those facts, the Court exercises its discretion to grant leave to amend.

Meet and Confer

Before

filing a demurrer, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who has filed the pleading subject to the demurrer and file a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 430.41(a).)

However, an insufficient meet and confer process is not grounds to overrule or sustain a demurrer. (Code Civ. Proc., § 430.41(a)(4).)

The

Declaration of Gregory Albright accompanying the Demurrer states that counsel for the parties met and conferred by telephone on March 12, 2026, but could not resolve this dispute. (Declaration of Gregory Albright ISO Dem. ¶ 2.) This is

sufficient.

Request
for Judicial Notice

Defendants request that the Court take
judicial notice of a range of documents. Because none of the materials for
which judicial notice is sought are pertinent to the Court's ruling, these
requests are DENIED. (Gbur v. Cohen (1979) 93 Cal.App.3d 296, 301
("[J]udicial notice . . . is always confined to those matters which are
relevant to the issue at hand."].)

CONCLUSION:

Accordingly, Defendants' Demurrer to the
Complaint is SUSTAINED in its entirety.

APCC
shall have thirty (30) days leave to amend.

Moving Parties to give notice.

IT IS
SO ORDERED.

Dated: July 17, 2026 _____

Nicholas
F. Daum

Judge
of the Superior Court

Any party may submit on the
tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the
hearing. All
interested parties must be copied on the email. It should be noted that if you
submit on a tentative ruling the court will still conduct a hearing if any
party appears. By submitting on the tentative you have, in essence, waived your
right to be present at the hearing, and you should be aware that the court may

not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.